R R Kabel Ltd

Concall Tracker · Q2 FY2027 (quarter ended 30 September 2026) · NSE: RRKABEL · BSE: 543981 · Report prepared 6 Nov 2026 · Continuity update to the Q1-2027 report

Not investment advice. Do your own due diligence. An AI-generated reading of the company's own earnings-call transcripts and public financials.

1. Snapshot

What the business does: R R Kabel makes electrical wires and cables, the copper and aluminium wiring that goes into homes, offices, factories, power projects and data centres. That's about 91% of sales and nearly all the profit. The rest is FMEG (fast-moving electrical goods: fans, lights, switches and small appliances under the RR and RR Signature brands). It buys metal, insulates it, brands it and sells through over 1.5 lakh shops in India, plus exports to Europe and the Middle East. The founding Kabra family owns about 59%.

Measure (consolidated)	Value	What it means in plain words
Market cap	₹21,778 cr	What the market says the whole company is worth. Down from about ₹29,800 cr at our last report, so the shares have fallen roughly a quarter in three months.
Share price / P/E	₹1,921 · ~33x	You pay about ₹33 for each ₹1 of yearly profit. Still not cheap, but a lot less stretched than the 49x of last quarter.
Q2 FY27 revenue	₹3,284 cr	Sales in the September quarter, up 52% on last year's ₹2,164 cr. Another record, but mostly copper prices, not more cable (see below).
Q2 FY27 operating profit	₹286 cr	EBITDA, profit from operations before interest, tax and depreciation. Up 63%, a slower rise than Q1's near-doubling.
Q2 FY27 operating margin	8.7%	About 9 paise of operating profit per rupee of sales, up from 8.1% a year ago but a bit below Q1's 9.0%.
Q2 FY27 net profit	₹181 cr	Final profit, up 55% from ₹116 cr. Lower than Q1's ₹205 cr.
H1 FY27 revenue / profit	₹6,452 cr / ₹386 cr	First half: sales up 53%, profit up 87%. Best half-year the company has had.
Borrowings (Sep 26)	₹577 cr	Up from ₹337 cr in March. Still small against about ₹660 cr of yearly profit, but the "paid from our own cash" line no longer fully holds.
Working capital	46 days	Cash tied up in stock and unpaid bills. Better than 50 days in June, partly because the company is paying suppliers later through bank-backed credit (LCs).

2. Concall coverage

Calls	Dates	Status in this report
Q2 FY24 → Q4 FY26 (eleven calls)	Nov 2023 → Apr 2026	Carried forward from the Q4-2026 and Q1-2027 reports
Q1 FY27 (prior report's boundary)	27 Jul 2026	Carried forward from the Q1-2027 report
Q2 FY27 (Jul-Sep 2026)	29 Oct 2026 (transcript filed 4 Nov)	Newly deep-read in full ★

Only the Q2 FY27 call was read in full this quarter. The three-year backstory comes from the prior reports. Screener lists 13 concall rows; all 13 downloaded, nothing missing.

★ Latest concall highlights: Q2 FY27 (call held 29 October 2026)

- **Volume guidance cut.** FY27 wire-and-cable volume growth is now "around 14-15%", down from the 16-18% (and "~18% reaffirmed") of three months ago. Management called it "fine-tuning". Analysts kept asking about it, so the market didn't see it that way.
- **The cable story stalled this quarter.** Total volume grew only high single digits. Wires grew double digits and cables single digits, the reverse of Q1 when cable was up 25%. In India cable "didn't decline" but grew slower than wire. Management blamed monsoon and quarter-to-quarter noise.
- **Margin held.** Wire-and-cable segment margin was 9.4% in Q2 and 9.6% for the half, already above the 9.5% FY27 target. Guidance kept at 9.5% for FY27 and about 10.5% for FY28. Gross margin slipped about one percentage point on mix and high copper.
- **FMEG back in the red, as warned.** A ₹12 cr loss in Q2 after Q1's breakeven, on revenue up 42% to ₹274 cr. Management had flagged Q2 as the weak fan season. Full-year breakeven still promised.
- **Two new moves.** A ₹77 cr deal to buy UM Cables' optical-fibre cable business from Usha Martin (not closed yet), and ₹200 cr for land in Rajasthan for a future expansion. No business plan for either yet; "maybe next quarter".

Business mix & capacity (Q2 FY27). Exports were about 32% of sales this quarter (confirmed on the call when an analyst put the number) and grew faster than domestic, mostly cable. Management says exports will stay in a 30-35% range, so roughly two-thirds of sales are within India. Europe and the Middle East are the biggest export markets. Capacity use wasn't updated on this call; the last figures (Q1) were cable plants ~90% full and wire plants 65-70%. FY27 capex is now quoted at ₹550-600 cr (it was ₹600-650 cr in July), plus the Rajasthan land and the UM Cables deal on top. Next year's capex is pencilled at around ₹300 cr.

★ Since our last report

Builds on the Q1-2027 report (boundary call 27 Jul 2026). Prior verdicts: **Durable trigger: YES** · **Management consistent: YES** (upgraded from MAYBE last time). New material: one call, Q2 FY27, held 29 Oct 2026.

Prior read	What we said then	What the new call shows	Movement
Trigger: YES	Cable-led scaling plus margin climb, working in the numbers	Margin still on target; cable growth slowed to single digits; volume guide trimmed	Confirmed, weaker
Consistency: YES	Under-promising lately; FMEG breakeven landed	Volume guide cut one quarter after reaffirming it; debt up after "self-funded" talk; two new bets with no plan	Slipping
FY27 volume ~16-18%	Q1 +17%, on track	Cut to 14-15%; Q2 high single digit	Slipping
Margin 9.5% FY27 / 10.5% FY28	Q1 at 9.9%, target not raised	H1 at 9.6%, targets kept	On-track
FMEG full-year breakeven	Q1 breakeven, Q2 may dip	Q2 loss ₹12 cr; H1 loss ₹12 cr vs ₹19 cr last year; target kept	On-track (H2 must deliver)
Self-funded ₹1,200 cr capex	Paid from internal cash	Borrowings ₹337 cr → ₹577 cr; more debt expected	Slipping
FMEG growth "around 20%"	Quietly trimmed from 25%	Q2 +42%, H1 +35%	Improving

Verdict change this quarter: trigger unchanged at YES. Consistency **downgraded to MAYBE**. The margin promise is solid, but last quarter's upgrade rested on management under-promising. This quarter they cut a volume number they'd reaffirmed in July, the cable shift went backwards for a quarter, and the balance sheet started taking on debt. Not a broken story, but not the clean record it looked like in July either.

★ 3. Earning-trigger thesis

The driver hasn't changed: grow the wire-and-cable business, tilt it toward higher-value cable, and lift its margin from about 8.5% to 10.5% by FY28, with a ₹1,200 cr capacity build behind it. The margin half is doing its job, H1 is already above the FY27 target. The volume half is the worry this quarter. Cable grew slower than wire, total volume growth fell to high single digits, and peers are reporting soft volumes too while everyone adds capacity. Headline growth of 52% is mostly copper. If you strip that out, this was an ordinary quarter on the factory floor with a good margin.

Trigger	What management said	Evidence after Q2 FY27	Horizon	Strength	Change since last report
Cable-led scaling	Cable to outgrow wire; FY27 volume 16-18%, now 14-15%	Q2 cable single-digit, wire double-digit; H1 volume low teens	FY27-28	Moderate	↓ weakening, guide cut and mix shift paused
Margin expansion	9.5% FY27, ~10.5% FY28	H1 9.6%; Q2 9.4%	FY27-28	Strong	unchanged, still ahead of plan
Exports	30-35% of sales, more cable	Grew faster than domestic; ~32% of Q2 sales	Ongoing	Strong	↑ improving
FMEG turnaround	Full-year breakeven FY27	Q2 loss as warned; H1 loss smaller than last year	FY27	Moderate	unchanged, H2 decides it
Optical fibre (UM Cables)	Plan "maybe next quarter"	₹77 cr deal signed, not closed; low-use plant	FY28+	Unproven	new

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
FY24 calls	Wire-and-cable volume ~20% a year	Reset several times; now 14-15% for FY27	Missed
FY24 calls	FMEG breakeven by FY25	Slipped to FY27; Q1 breakeven, Q2 loss; full year still open	Partly
FY24-FY25	Margin up toward 10.5%	9.6% in H1 FY27, on the stated path	Delivered so far
FY24 calls	₹500 cr self-funded capex	Done on time from internal cash	Delivered
Apr 2026	Middle East export hit in Q1	Didn't happen; exports kept growing	Delivered
Jul 2026	FY27 volume ~18% reaffirmed	Cut to 14-15% in October	Missed
Jul 2026	FY27 capex ₹600-650 cr, internally funded	Now ₹550-600 cr plus land and an acquisition; debt up ₹240 cr in six months	Partly
Jul 2026	FMEG Q2 may slip into loss	It did, as flagged	Delivered (honest warning)

Narrative drift. The core story is the same as three years ago: more wire and cable, more cable in the mix, better margins, exports, fix FMEG. What's new is two side bets (optical fibre, a Rajasthan site) that came with no numbers, and a softer tone on volume. Answers on this call were short and often deflected: no export figure given until an analyst stated it, no FY28 volume view "in such a volatile market", and the guidance cut was waved away as a few basis points when it's a couple of percentage points. The margin record keeps this from a NO. The volume record is the old pattern of big numbers that get trimmed.

5. Bottom line: two verdicts

Durable earning trigger? → YES vs last quarter: unchanged

Nothing broke the trigger, but it got weaker. The margin plan is clearly working: H1 segment margin of 9.6% already beats the FY27 target, and profit rose 87% in the half. Exports are now a real second engine at about a third of sales. The soft part is volume. Cable growth fell to single digits this quarter and the full-year volume target came down. With peers adding capacity and reporting weak volumes, a pricing fight in wires is a real risk. It stays YES because profit is still growing far faster than the industry and the margin climb doesn't depend on copper. Two more quarters of single-digit cable growth would make it a MAYBE.

Management consistent? → MAYBE vs last quarter: downgraded from YES

Last quarter's upgrade was for under-promising. This quarter went the other way. Management reaffirmed about 18% volume growth in July and cut it to 14-15% in October, then called that a small tweak. The "self-funded" expansion now comes with ₹240 cr more debt and two new spending items that weren't in the plan. On the plus side, the margin guide was kept and is being met, the FMEG Q2 loss was flagged in advance, and the export story held. That's a mixed record, which is what MAYBE means. To get back to YES: hit 14-15% volume, deliver full-year FMEG breakeven, and give real numbers on the fibre business in the Q3 call.

Sources: R R Kabel Ltd Q2 & H1 FY27 earnings-call transcript (call 29 Oct 2026, filed with BSE/NSE 4 Nov 2026), via Screener.in, read in full. Earlier calls (Q2 FY24 to Q1 FY27) carried forward from the Q4-2026 and Q1-2027 editions of this tracker. Screener.in consolidated financials, balance sheet (Sep 2026) and shareholding. Figures are consolidated as stated by management on the call. This is not investment advice. Do your own due diligence.